

and unemotional way to control risk by taking some chips off the table. Selling assets that have performed better can help you improve investment returns by purchasing investments that have performed worse and are more likely to be better values. Rebalancing gives those who think they need to “do something” with investments something to do that may actually do more good than harm.

The 4% Rule

The whole point of saving and investing your money is to build a portfolio that will provide the income you need to support your lifestyle, independent of the need to go out and earn money. So how do you know when you have enough? The FI community uses the 4% Rule as the starting point to answer that question.

The 4% Rule is based on historical stock and bond market data that suggests you can withdraw 4 percent of your portfolio the year you start retirement. You can continue to withdraw that same amount of money, adjusted annually for inflation, every year going forward with little chance of ever running out of money. So if we use the inverse of 4 percent, we would need to accumulate twenty-five times our annual expenses to be FI. For example, if you currently spend